

[CONFIDENTIAL]

Internal Audit Findings — Q1 2026

Author: Internal Audit Committee
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The Internal Audit Committee completed its Q1 2026 review covering information security, financial controls, and vendor management. Eight findings were identified: 2 High, 4 Medium, 2 Low. The March 2026 security incident contributed 3 of the High and Medium findings. Remediation deadlines are tracked in the audit management system.

1. Findings Summary

ID	Finding	Severity	Due Date
A01	Qdrant API auth disabled in prod (March incident)	High	2026-03-28
A02	Staging-to-prod network path unrestricted	High	2026-03-28
A03	Missing OTel instrumentation on Qdrant client	Medium	2026-04-30
A04	Vendor NDA expired: SearchAI discussions	Medium	2026-05-01
A05	Off-cycle expense claims > \$5K lacking dual approval	Medium	2026-05-15
A06	Encryption key rotation overdue (3 keys, >180 days)	Medium	2026-04-30
A07	Stale IAM roles (12 roles with no activity > 90 days)	Low	2026-05-31
A08	Contractor laptop encryption not verified	Low	2026-06-01

2. Remediation Status

A01 and A02 were remediated on 2026-03-28 as documented in the Security Incident Report. A03, A04, and A06 are in progress. A05 has been escalated to the CFO for investigation — two expense claims totalling \$14 200 lack required dual approval documentation.